

TABLE I
Status of Telecom Sector

Subscribers	Subscriber base (million)				
	March 2008	March 2009	March 2010	March 2011	September 2012
Wire-line	39.41	37.96	36.96	34.73	31.08
Wireless	261.08	391.76	584.32	811.6	906.82
Total phones	300.49	429.73	621.28	846.33	937.70
Internet	11.05	13.65	16.10	19.69	24.01
Broadband	3.81	6.22	8.77	11.79	14.68
Data services/ wireless Internet	65.50	117.82	177.87	381.4	426.67

TABLE II
Tele-Density in India

Year (March)	Urban tele-density	Rural tele-density	Overall tele-density
2004	20.79	1.55	7.02
2005	266.88	1.73	8.95
2006	38.28	2.34	12.74
2007	48.10	5.89	18.22
2008	66.39	9.46	26.22
2009	88.84	15.11	36.98
2010	122.00	24.56	53.46
2011	157.32	33.79	70.89
2012	169.55	39.22	78.66
2013	146.97	41.02	70.89

India's mobile subscriber base stood second only to China. In fact, telecommunication, along with information technology, did help almost all sectors of the economy. For instance, mobile phones reach almost 900 million Indians. These have become the single-largest device in consumer hands after the radio. More than 227 million Indians currently go online using their mobile phones, smartphones or tablets. They do so to listen to music, watch a film, television show or cricket match, among other things.

Recently, Department of Telecom (DoT) proposed amendments to the powers of the regulator in the telecom regulatory authority's amendment bill. These amendments have enhanced the role of Telecom Regulatory Authority of India (TRAI) to include the power to:

1. Impose penalties on operators for non-compliance with its order and regulators

2. Determine how to address consumer grievances and implement a plan

3. Recommend how spectrum should be audited for effective usage and penalise transgressors for inefficiencies

Also, TRAI is to be at par with other independent regulators.

In 2012, the telecom policy hinted at a roaming-free regime. It was hoped that it would bring millions of others who kept away because of steep tariffs to join the party and talk more.

But, in June 2013, TRAI announced only a half-way measure that divided the telecom companies and killed any hope for a fall in roaming tariffs.

The three big operators (Airtel, Vodafone and Idea) account for 80 per cent of the roaming revenues. These operators got what they wanted: no free roaming for the time being. The small ones, however, want free roaming, hoping it will help them generate additional revenues as consumers will now talk more.

TRAI has slashed the cap on roaming charges imposed in 2007 by 29 to 59 per cent. It is hoped that this will increase competition and bring down prices. TRAI has also permitted operators to charge upfront for roaming services from subscribers or offer them a fixed tariff whenever they choose to use the roaming facility.

Between November and December 2013, FDI inflow in telecom

sector suddenly jumped 155 per cent as compared to the total inflow during the period April-October 2013. FDI inflow in telecom sector in November and December 2013 was ₹ 3050 million.

For the period April to October 2013, the figure was only ₹ 1920 million. During April-December 2013, the figure was ₹ 5020 million. Between April 2000 and December 2013, telecom accounted for about six per cent of total FDI inflow, third in terms of attracting foreign investment, after services (19 per cent) and construction (11 per cent). The 2G scam was one of the key reasons why foreign investors stayed away.

Some problems

On October 3, 2013, Telecom Commission (TC), the highest decision-making authority in DoT, sought clarifications from TRAI on all key issues of its recommendations on spectrum pricing for auctions. TC asked TRAI to clarify on what basis it had zeroed-in on the reserve price of the spectrum. Among other key issues, TC asked about the pan-India pricing of 900MHz spectrum and the price of 800MHz spectrum.

A DoT committee had submitted its views on October 1, 2013, after examining TRAI recommendations. The committee, in its report, had said, TRAI's calculation does not appear to reflect the value of the liberalised spectrum as its potential for use is much more than 2G over the next 20 years. It had also asked whether the regulation had taken into account the future growth potential in the telecom sector.

The financial health of Bharat Sanchar Nigam Ltd (BSNL) and Mahanagar Telephone Nigam Ltd (MTNL) is far from satisfactory. This is attributed to spectrum-licensing fees and intense competition. BSNL incurred a loss of ₹ 100 billion in 2012-13, on top of around ₹ 150 billion losses in the previous two years. MTNL is incurring a loss of almost ₹ 10 billion every quarter for the past